

"Consumers are holding back," says Tolga Soyata, owner of Soyata Computers of Rochester.

Computer resellers suffering while many delay upgrades

By KATHY QUINN THOMAS

Local consumers continue to hold off on upgrading their personal computer equipment. Local companies and academic institutions are just beginning to make the hardware purchases they have been delaying, local resellers say.

But beware, analysts warn: The slight upturn does not signal that the worst is over.

Time was, back in 1990s tech heaven, anyone with a credit card, or any business with a healthy budget, upgraded or added to the latest hardware and software roughly every three years.

The three-year cycle matched the development cycle for the latest and most powerful technology. And computer hardware makers ensured that there would be something new to attract everyone:

□ Selling newer and better versions is the method Bill Gates used to turn Microsoft Corp. into a software powerhouse.

□ Taking marketing to the next level, Apple Computer Inc. added color choice to its iMacs. Anyone interested in brightening up the home or office while upgrading hardware and software now had a decorating choice.

□ "Digital lifestyle" products—laptops in multiple sizes and PC-compatible handheld devices—filled in other marketing niches.

□ Meanwhile, networks and servers had to regularly upgrade as they were being asked to perform more and more tasks.

Then came the fall of the tech empire and the ensuing economic downturn. The three-year replacement cycle became a thing of the past. Companies and plain old consumers opted to get at least one more year out of what they had. Whether waiting for prices to drop or simply holding off on purchases to curb expenses, no one was buying new hardware.

According to Gartner Inc., personal computer sales alone dropped by 10 percent in 2001. The computer industry is a web of manufacturers that produce the parts that wind up in a desktop PC or that connect the PC to the Internet. If no one is buying, then the second-tier companies

also take a hit.

Companies in the industry are still left with a glut of merchandise that they had predicted would sell that year. According to Illinois-based tech research firm eT-Forecasts, 175 million PCs were in use in the United States in 2001.

The results have been lower prices for those who choose to buy.

"The replacement PC market is driven by price, as buyers see little to differentiate individual brands," says Peter Kastner, technology analyst with Boston's Aberdeen Group Inc. "The global recession last year led to a decline in sales, even as industry overcapacity drove prices lower."

Of course lower prices mean lower revenues for the manufacturers and resellers.

Hope glimmered in the first quarter of 2002: PC makers worldwide shipped 31.4 million PCs, down 2.5 percent from the 32.2 million shipped in the first quarter of 2001. Definitely a decline, but up from the 5.4 percent decline that had been expected for the quarter, according to IDC, a technology analysis firm.

According to Gartner, this fact is not an indication that all is well again. "Consider it a respite, not a turning point for the U.S. PC market," the report states.

In the third week in June, three national computer companies—Apple Computer, Advanced Micro Devices Inc. and Intel Corp.—lowered their earnings forecasts for the quarter. The announcements sent the signal to the Street that the slump would not straighten out any time soon.

"It's hard for things in general to get better if PCs are still bad," says Joseph Osha, an analyst with Merrill Lynch and Co. Inc. in New York City.

Local resellers have keenly felt every tiny blip in the market.

Along with local unemployment and business budget cutbacks, "the unfortunate incidents last fall had a negative impact on everybody," says John Smith, president and co-owner of Brite Computers Inc. on Linden Avenue. Brite reported \$16.7 million in sales and 45 employees in 2000 for the Rochester Business Jour-

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nal list of computer dealers.

At Soyata Computers of Rochester Inc., "the biggest problem was corporations waiting for the economy to turn around before buying," says owner Tolga Soyata. The company, located on West Henrietta Road, indicated it had \$7.2 million in revenues and 27 employees in 2000.

Both companies are beginning to show an improvement, they say.

Brite's most recent customers have been schools and school districts upgrading their equipment, Smith says. "Things are now picking up dramatically. A lot of schools are buying new systems, and we're seeing a lot of sales in the public-safety sector. And they are buying the full line, new Pentium processors for more robust software and the new Microsoft XP line."

Soyata's sales are rising across the board also.

"What we're selling is capital improvements, servers, multiple workstations, improvements in computers, computers," Soyata says.

Sales at Manchester Technologies Inc. have "remained relatively the same," says consultant and former owner Philip Ferranti of Manchester Technologies Inc. Originally the Texport Technology Group Inc. in East Rochester, Manchester bought the company in April 2000. The company's headquarters is in Hauppauge, Suffolk County. The firm reported \$10 million in local sales and 22 area employees in 2000.

Manchester has multiple accounts with the academic community which was "not, up till now, affected by the economy," he says. The school sales helped offset the corporate downturn, he says. Manchester is not a retailer and does not sell to individuals.

Growth in the industry will not happen until something new comes along to spark it, Ferranti says.

"What we need is the next Apple II, a brilliant new product built in someone's garage," he says. "Faster servers are not going to attract the market."

The local resellers are optimistically predicting a summer of strong sales that will help boost fiscal 2002. The back-to-

school season should be especially lucrative, they say.

"We think our sales this summer will be ahead of last year," Smith says. "Year-to-date, we're behind 2001, but this summer we should be up 10 to 12 percent."

Soyata predicts 10 percent to 15 percent growth for the year.

Service contracts have helped local resellers boost earnings during the low sales time. Brite added a service division on Jan. 1, the Brite Solutions Division. "We can do everything for the customer—set-up, network support, service," Smith says.

Manchester's service and support division is also healthy, Ferranti says. "With the price cuts, hardware margins are not so good anymore," he says.

Soyata's existing service division has almost doubled its revenues, Soyata says. "There's a pretty big demand for that. I don't really see service contracts going down. When money is tight, everyone wants to know that they have a fail-safe for their equipment. And contracts are a huge opportunity to get into companies and form a long-term relationship."

Both Brite and Soyata are not seeing much off-street business.

"Consumers are holding back," Soyata says. "And I don't blame anyone; this is just not the time to spend. But they will come back with a vengeance."

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